

SAATH – Financial Literacy Notes

Block 1: Money, Income, and Needs vs Wants

I will begin by greeting the students and asking them a simple question: "**If I gave you ₹100 today, what would you buy?**" I will encourage as many students as possible to answer and write most of their answers on the board. Making the class interactive.

I will then explain to all of them that money is something that we use every day to buy things like food, clothes, books, medicines, and other items that help us in our daily lives. I will tell the students that money is not earned easily. Every rupee is earned through hard work and determination. I will ask them what their parents or guardians do for a living and explain that teachers, farmers, drivers, construction workers and many others all earn money through honest work. I will remind them that no job is small and that every profession deserves respect.

Next, I will introduce the concepts of **needs** and **wants**. I will explain that a **need** is something we must have to live safely, stay healthy, and continue our education. Examples include food, water, clothes, school books, medicines, and a home. A **want**, on the other hand, is something that makes us happy and we desire to have in our lives but is not essential for our survival, such as chocolates, toys, video games, or fancy shoes. I will make it clear that having wants is never wrong and everyone should have wants, but our needs should always come before our wants and desires.

To make this concept easier to understand, I will conduct the **₹100 Challenge**. I will divide the students into small groups and ask them to imagine they have ₹100 to spend. Each group will decide what they would buy and then explain their choices in front of all the groups. Together, we will discuss which items are needs and which are wants. I will encourage the students to think carefully before spending money and remind them that smart spending begins with making the correct decisions.

I will end the lesson by asking a few quick questions, such as "What is one need?", "What is one want?", and "What did you learn today?" Finally, I will remind them that money is valuable because it is earned through hard work, and that we should always think before we spend.

Block 2: Budgeting and Stopping Overspending

I will start this lesson by asking students if they have ever spent all their money at one time and later wished they had saved some. I will encourage them to share their experiences to relate to the topic. Then I explain why people make a budget . A budget is a plan for how we will spend our money before we actually spend it. This helps us make better decisions and not waste money.

I'll tell you this, when we get money we should spend it wisely. Some can be used for our needs. Some can be saved for the future and a small amount can be kept aside for emergencies.

To help students understand budgeting, I will ask each group to imagine they have ₹100 and decide how much they would spend, how much they would save, and how much they would keep aside for emergencies. After each group presents their ideas, I will discuss why planning before spending is always better than spending without thinking.

Before ending the lesson, I will teach them two simple questions they should always ask before buying anything: "**Do I really need this?**" and "**Can I wait before buying it?**" I will explain that these questions can help them avoid unnecessary spending and make smarter financial choices.

Block 3: Saving, Goals, Emergency Funds, and Banks

I will start this lesson by asking the students “why do people save money?” I expect answers such as buying a bicycle, school bag, or something special for their family Ex: Gifting someone a birthday present. I will explain that **saving** means keeping some money aside instead of spending it immediately. Even saving a small amount regularly can help us in the future.

Next, I will explain the importance of **setting goals**. I will tell the students that a **goal** is something we want to achieve in the future, such as buying school supplies, continuing our education, or helping our family. Having a goal makes us stay motivated and save money more effectively!

I will also introduce the idea of an **emergency fund**. I will explain that life is unpredictable, and unexpected situations like illness or accidents can happen at any time. Saving a little money regularly can help families deal with these difficult situations without taking much stress.

Finally, I will introduce the concept of **banks** in very simple language. I will explain that banks are safe places to keep our money instead of keeping it at home, where it could be lost or stolen. I will teach them a few basic words such as **deposit**, which means putting money into a bank, **withdraw**, which means taking money out, and **savings account**, which is an account used to keep money safely. I will conclude by asking each student **to think of one thing they would like to save money for!** and **explain why it is important to them.** I will try to interact with as many students as possible, making the class more collective!

Block 4: Risk, Scams, and Safe Money Behaviour

I will begin this lesson by asking the students if they have ever heard the dialogue “**25 Din mein Paisa double**” which will start the class with a little fun and grab the students attention. I will explain to them **what a scam** is, and how strangers will try to trap you in it, by leading forward with some examples!

I will then explain some common money scams in simple language. I will tell the students that scammers often call or send messages **asking for bank details, passwords, PINs, or OTPs.** I will clearly explain that these details are private and should never be shared with anyone, even if the caller claims to be from a bank or a government office.

I will also explain that scammers often create fear or excitement by saying things like, “**You have won a prize,**” or “**Your account will be blocked.**” I will explain to them that whenever they receive such messages, they should stay calm, ignore it, immediately tell a trusted adult before taking any action and block the caller!

Finally, I will explain to them the concept of risk! I will help them understand the difference between a high level risk and a low level risk in terms of money. They will have to understand not to take any high risks without the guidance of their parents and a trusted adult who will guide them in the right path.

I will end the lesson by reminding the students that money is earned through hard work and should always be used wisely. I will encourage them to save whenever possible, spend carefully, and never share personal banking information such as passwords, PINs, or OTPs with anyone.